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KSE-100 V

169,969.33

▲ 0.22% Wed ·
+368.92 pts

S&P 500 V

▼ 0.25%

Nasdaq +0.24% ·
Dow -0.86%

US 10Y / 2Y V

5.29 / 4.92

hawkish hold after
Sept hike

BRENT / WTI V

\$97.46 / \$90.60

Hormuz flows ease
the risk premium

GOLD V

\$4,168.01

-0.60% · silver
\$61.13 (-1.39%)

USD/PKR V

277.11

interbank · rupee
firms Re0.01

01 Five Things You Need To Know To Start Your Day

PSX REBOUNDS ON IMF OPTIMISM

The **KSE-100** opened firmly and surged as much as 1.12% intraday to a session high of 171,492.53 before late profit-taking pared gains, with the index settling at **169,969.33, up 368.92 points (+0.22%)**. Volume rose to 591.2 million shares (from 568.04 million) on traded value of roughly Rs20.2 billion, with advancers leading decliners 253 to 195 (47 unchanged) across 495 names. Sentiment was buoyed by expectations of progress in the **IMF** mission's fourth EFF review talks, the Finance Ministry's new Strategic Action Plan for the local-currency bond market, and a proposal allowing private firms to directly import LNG; HBL, Meezan Bank, Lucky Cement, Fatima Fertiliser, FFC, Engro Holdings, Engro Fertilizers, UBL, Systems and Mari Energies together added 467 points. [TechJuice](#) and [Profit](#) confirm the print. Sentiment: **rebound stalls into the close, breadth positive**.

WALL STREET DIVERGES AS FED HIKE BITES

US equities finished September mixed: the **S&P 500 slipped 0.25% to 7,651.54** and the **Dow fell 443.87 points (-0.86%) to 50,906.05**, while the **Nasdaq Composite edged up 0.24% to 26,861.06**. For the month the S&P fell 0.5%, the Dow dropped 4.3% and the Nasdaq added 1.9%, as the **10-year Treasury yield rose to 5.29%** and the **2-year to 4.92%** following the Fed's 25bp hike to 3.75–4% on 16 September — its first increase since July 2023 under new Chair Kevin Warsh. A funding deal signed 2 September keeps the government open through 11 December, removing a near-term shutdown risk. [CNBC](#) and [Yahoo Finance](#) confirm the levels. Sentiment: **yield-driven divergence, rate-hike hangover**.

OIL STEADIES NEAR \$98 AS HORMUZ FLOWS RECOVER

Brent crude settled at \$97.46 (the new front-month December contract closed at \$98.03, +1.9%) and **WTI at \$90.60**, holding well below mid-September's spike that followed Saudi Arabia's East–West pipeline closure. Middle East crude exports hit roughly 16.3 million barrels a day in September — the highest since the war began in February — with Kpler estimating Hormuz throughput near 80% of pre-war levels; tanker insurance costs remain elevated and Tehran says it is ready for both defensive and offensive action if strait-reopening talks stall. [Al Jazeera](#) and [Fortune](#) confirm the levels. Sentiment: **risk premium easing but fragile**.

GOLD, SILVER SLIP AS REAL YIELDS BITE

Bullion gave back part of September's rally: **spot gold fell 0.60% to \$4,168.01** an ounce and **silver dropped 1.39% to \$61.13**, as a firmer dollar and rising real yields overwhelmed softer core inflation data. [Kitco](#) and [Rio Times](#) confirm the levels. Sentiment: **profit-taking after a strong month**.

SBP HOLDS AT 11.5%, RUPEE STEADY AS IMF REVIEW ADVANCES

The **SBP's Monetary Policy Committee** held the policy rate at **11.5%** for a third straight meeting on 14 September, balancing a cooling inflation trend — August CPI at 11.1% y/y, with brokerages pencilling September near 10.2–10.3% y/y (EST.) ahead of the PBS print — against persistent energy-price pressure. The **rupee firmed a marginal Re0.01 to 277.11** interbank, while 3-month KIBOR held near 11.58/11.83 and 6-month at 11.80/12.05. An **IMF** mission under Iva Petrova began the fourth EFF and third RSF reviews on 23 September, with Finance Minister Aurangzeb holding a kick-off meeting on 29 September; a successful review could unlock roughly \$1 billion under the EFF and \$200 million under the RSF. [Business Recorder](#) and [The Nation](#) confirm the details. Sentiment: **policy continuity, IMF-dependent outlook**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's macro narrative turned cautiously constructive into month-end: the **KSE-100** rebounded 0.22% to 169,969 as the government briefed the visiting **IMF** mission (fourth EFF, third RSF review, begun 23 Sep) and unveiled a Strategic Action Plan for the local-currency bond market alongside a proposal letting private firms directly import LNG. The **SBP** held its policy rate at 11.5% on 14 September for a third straight meeting, with August CPI at 11.1% y/y and September estimated near 10.2–10.3% y/y (EST.) by brokerages. The rupee firmed marginally to 277.11 interbank. Risks remain skewed to Gulf-linked oil costs and the pace of IMF disbursement, with 170,000 acting as the index's psychological pivot. [The Nation](#) and [TechJuice](#).

B. GCC & Middle East

Gulf fundamentals stayed split between resilient non-oil growth and a lingering Hormuz risk premium. Saudi Arabia's Riyadh Bank PMI rose to **57.8** in September (from 56.4), a six-month high, as the Crown Prince's PIF 2026–2030 strategy doubled down on tourism, travel and entertainment to diversify away from crude. **OPEC+** held its October output target unchanged at 31.1 million bpd, confirming the group has fully unwound its 1.65 million bpd of voluntary cuts, with a formal decision due at the 4 October meeting. Mid-September's Saudi East–West pipeline shutdown after drone strikes from Iraq, and UAE pump-price rises of up to 16.6% for October, underline that the Hormuz premium — even as flows normalise toward 80% of pre-war levels — has not fully unwound. [Arab News](#) and [The National](#).

C. Global Intelligence

The Fed's 25bp hike to 3.75–4% on 16 September — its first increase since July 2023 under Chair Kevin Warsh — continues to reverberate: the 10-year Treasury yield sits at 5.29% and the 2-year at 4.92%, both at multi-year highs, even as a 2 September funding deal keeps Washington open through 11 December. Equities closed September mixed, with the Nasdaq up on the month and the Dow down 4.3%. In trade policy, the EU's finalised framework with Washington locks in a 15% tariff on most EU exports to the US (with carve-outs for aircraft, generic pharma and scarce raw materials) while Section 232 steel and aluminium tariffs remain, keeping bilateral friction alive into year-end. Separately, the SEC's proposed 'Regulation Crypto Assets' framework is in public comment through 20 October, a step toward clearer digital-asset rules. [CNBC](#) and [Supply Chain Dive](#).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	IMF Fourth EFF / Third RSF Review talks (from 23 Sep) plus a Finance Ministry Strategic Action Plan for the local-currency bond market and a proposal to let private firms import LNG directly.	Banks, Fixed Income, E&P/OMCs, Power	Wins: banks and primary dealers (deeper bond-market liquidity), LNG-reliant industry (import flexibility), fiscal credibility if the roughly \$1.2bn combined tranche is unlocked. Losses: consumers if IMF-linked energy-tariff adjustments accompany the review; import-dependent sectors exposed to rupee volatility pending the staff-level agreement.
GCC — Saudi Arabia/UAE	Crown Prince-approved PIF 2026–2030 strategy prioritising tourism, travel and entertainment, alongside OPEC+'s decision to hold October output at 31.1m bpd.	Tourism & Entertainment, Sovereign Wealth, Energy, Shipping/Insurance	Wins: PIF portfolio companies in travel, tourism and entertainment; non-oil exporters riding a six-month-high 57.8 PMI. Losses: shippers and insurers still pricing a Hormuz risk premium; motorists facing UAE pump-price rises of up to 16.6% in October.
Global	Finalised EU-US tariff framework locking in a 15% US tariff on most EU exports, with Section 232 steel/aluminium tariffs still in force.	Industrials, Autos, Steel/Aluminium, Pharma	Wins: EU exporters of aircraft, generic pharma and scarce raw materials (MFN carve-outs); US importers of EU industrial goods, now tariff-free. Losses: EU steel and aluminium exporters still facing Section 232 duties, and general EU exporters absorbing the 15% baseline tariff.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

169,600

Tuesday's close; deeper support near 168,500 psychological floor

PIVOT EST.

169,969

Wednesday's close

RESISTANCE EST.

171,490

Wednesday's intraday high; then 172,000 psychological resistance

The desk reads today's tape as a tactical bounce inside a wider risk-off regime, not a trend reversal: 169,969 keeps the **KSE-100** pinned below the psychologically important 170,000 mark, and direction into Thursday hinges on three swing factors — the pace of the **IMF** fourth EFF review, the durability of the Hormuz de-escalation in oil flows, and whether US yields stabilise after the Fed's 16 September hike to 3.75–4%. We would fade strength into 171,000–171,500 and treat a daily close back below 169,600 as a resumption of the September downtrend. All levels are indicative desk estimates, not recommendations.

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